

7-1a Basic Supply and Demand

The concept of an exchange rate as the price of a commodity—one country's currency—helps us understand its determinants. Basic economic theory suggests that the price of a commodity is most fundamentally determined by its supply and demand. Strong demand will lead to price hikes, and over-supply will result in price drops. Of course, we are dealing with a most unusual commodity here, money, but the basic underlying principles still apply. When the United States sells products to China, US exporters often demand that they be paid in US dollars—the Chinese yuan is useless (technically, nonconvertible) in the United States. Chinese importers of US products must somehow generate US dollars in order to pay for US imports. The easiest way to generate US dollars is to *export* to the United States, whose buyers will pay in US dollars. In this example, the dollar is the common transaction currency involving both US imports and US exports. As a result, the demand for dollars is much stronger than the demand for yuan (while holding the supply constant). Worldwide, a wide variety of users outside the United States, such as Chinese exporters, Swiss bankers, and Russian mafia members, prefer to hold and transact in US dollars, thus fueling the demand for dollars. Such a strong demand explains why the US dollar is the most sought-after currency in postwar decades (see [Figure 7.1](#)). At present, more than 80% of the world's foreign exchange transactions are in dollars. Approximately 65% of the world's foreign exchange holdings is in US dollars, followed by 26% in euros, 4% in British pounds, and 3% in yens.

Figure 7.1

US Dollar's Share of World Total (%)

Source: Based on data in *Economist*, 2010, Beyond Bretton Woods 2 (p. 85), November 6: 85-87.

Because foreign exchange is such a unique commodity, its markets are influenced not only by economic factors, but also by numerous political and psychological factors. The next question is: What determines the supply and demand of foreign exchange? [Figure 7.2](#) sketches the five underlying building blocks:

- (1) relative price differences,
- (2) interest rates and monetary supply,
- (3) productivity and balance of payments,
- (4) exchange rate policies, and
- (5) investor psychology.

Figure 7.2

What Determines Foreign Exchange Rates?

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Chapter 7: Dealing with Foreign Exchange: 7-1a Basic Supply and Demand

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